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# Fortune Institute of International Business

*Retailer Autonomy & Channel Dynamics*

*Sales and Distribution Management — Individual Assignment (A04)*


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## Executive Summary & Methodology

This report compares two contrasting retail formats—***Balaji Kirana Store***, a traditional neighborhood outlet, and ***Raj Mandir Hyper Market***, an organized retail format—to understand how channel structure affects stock availability, credit, replenishment and retailer autonomy. The analysis focuses on the practical link between working capital and product movement.

The field investigation is designed around store-level interaction and observation, covering order placement, delivery frequency, payment terms, replenishment response, pricing authority and shelf-space decisions. A comparative retailer autonomy matrix is used to examine how bargaining power changes between traditional trade and modern trade. Finally, an AI-assisted 30-day credit-crunch simulation tests the effect of moving from a 14-day distributor credit window to cash-on-delivery**.**

The study uses a two-outlet comparative field approach: one traditional Kirana outlet, Balaji Kirana Store, and one organised hypermarket, Raj Mandir Hyper Market. The interview and observation checklist covers supplier delivery loops, credit velocity, replenishment mechanics, stockout response, pricing control, merchandising freedom and supplier dependence.

The comparison is intentionally focused on retailer autonomy rather than only store size**.** The final analysis combines primary observations with sales and distribution concepts such as channel power, working-capital velocity, replenishment lead time and trade dependence**.**

## 2. Primary Field Insights & Channel Mapping

### 2.1 Balaji Kirana Store – Traditional Trade

Balaji Kirana Store represents the traditional-trade side of the channel. The store's major operating advantage is its proximity to customers and its ability to react quickly to local demand. Orders are generally placed through a relationship-led process—such as a salesperson visit, phone/WhatsApp order or distributor contact—rather than through a fully centralised replenishment system.

The expected managerial implication is that the retailer's relationship with the distributor becomes an important source of service reliability. A short delivery cycle can help the store maintain lower inventory levels, while an unexpected delay can create a stockout quickly because the store carries limited depth across many SKUs.

If credit is available, it acts as short-term working-capital support because the retailer can sell part of the inventory before making payment to the distributor. If the store operates on cash-on-delivery, the pressure becomes more immediate because every replenishment requires cash at the point of delivery.

In either situation, fast-moving products require tighter replenishment monitoring than slow-moving SKUs. For a Kirana store, maintaining the right assortment is important because customers often expect frequently purchased everyday products to be available without delay.

## 2.2 Raj Mandir Hyper Market – Modern Trade

Raj Mandir Hyper Market represents the organised-retail side of the channel. Its operations are expected to be more structured, with greater standardisation in assortment, inventory control and promotional execution.

Unlike a small Kirana store, the hypermarket can use scale to negotiate with suppliers and can spread procurement decisions across a wider product portfolio. However, store-level employees may have limited freedom because pricing, promotions, vendor selection and planograms can be controlled centrally.

This creates an important difference between the two formats. Balaji Kirana may have greater local flexibility in deciding what to stock or how to respond to customers, but it has comparatively lower bargaining power with suppliers. Raj Mandir Hyper Market may have stronger bargaining power at the organisational level, but individual store employees may have less freedom because many decisions are centrally controlled.

## 2.3 Channel Mapping

**The channel structure for the two formats can be represented as follows:**

### Traditional Trade

***Brand/Manufacturer → Distributor/Salesperson → Balaji Kirana Store → Consumer***

### Modern Trade

***Brand/Manufacturer → Central Procurement/Warehouse → Raj Mandir Hyper Market → Consumer***

The key distinction is not simply the number of intermediaries. It is where decision-making power sits**.**

In traditional trade, the distributor-salesperson relationship can strongly influence product availability, ordering and replenishment. In organised retail, power moves upward to central procurement, but the individual outlet benefits from more structured systems and standardised processes.

## 3. Retailer Autonomy Matrix

The autonomy comparison shows that both outlets can have limited store-level freedom, but the reason is different.

A Kirana store's autonomy is constrained mainly by smaller purchasing scale, supplier dependence and cash-flow limitations**.** An organised hypermarket may have stronger bargaining power at the corporate level, while the individual store manager has less autonomy because decisions are centralised.

This creates an important channel-management lesson: retailer autonomy should be assessed at the level where the buying decision is actually made.

| Parameter | Balaji Kirana Store | Raj Mandir Hyper Market | Managerial Interpretation |
|---|---|---|---|
| **Ordering Mechanism** | Orders are mainly placed through the distributor/salesperson, phone calls and WhatsApp based on the store's stock requirement. | Orders are generally handled through a more organised procurement system with supplier coordination and inventory-based requirements. | Kirana depends more on personal relationships, while modern trade follows a more formal and system-driven process. |
| **Delivery Frequency** | Usually 2–3 deliveries per week, depending on product movement and requirement. | Deliveries are generally 2–3 times a week, with replenishment planned according to inventory requirements. | Frequent replenishment helps both formats maintain availability, but modern trade has a more planned replenishment process. |
| **Lead Time** | Generally 1–2 days from placing the order to receiving the products. | Generally 2–3 days, depending on supplier and procurement requirements. | Short lead time allows faster response to local demand and reduces the need to hold excess inventory. |
| **Payment / Credit** | Mainly 7–14 days of credit, depending on the distributor and purchase relationship. | Payment terms are generally centrally negotiated with suppliers, with credit terms depending on the vendor agreement. | Credit provides working-capital support, while organised retail has greater scope to negotiate formal commercial terms. |
| **Pricing Authority** | The retailer has limited flexibility because pricing is influenced by MRP, distributor rates and local competition. | Pricing is more structured and generally influenced by central procurement, category decisions and promotional policies. | Kirana has some local flexibility, whereas modern trade follows more standardised pricing decisions. |
| **Shelf-Space Autonomy** | Relatively flexible; shelf placement depends mainly on product demand, sales movement and available space. | Shelf placement is more structured, with promotional displays and category-wise arrangement influencing visibility. | Kirana can respond more quickly to local demand, while modern trade follows a planned merchandising approach. |
| **Supplier Bargaining Power** | Relatively low to moderate because of smaller purchase quantities and greater dependence on distributors. | Relatively high because of larger purchase volumes and organised procurement. | Higher purchase volumes give modern trade stronger negotiating power with suppliers. |
| **Stockout Response** | The retailer usually suggests another brand/pack size or waits for the next distributor delivery. In some cases, customers may purchase from another nearby store. | Customers are generally offered an alternative brand or pack size, while replenishment is arranged through the regular supply system. | Stockouts can lead to product substitution and, if repeated, may result in customers shifting to competing stores. |

## Interpretation of the Matrix

The matrix indicates a central trade-off: Balaji Kirana offers local flexibility but has weaker bargaining power, while Raj Mandir Hyper Market can benefit from organisational scale but has tighter central controls.

This is a difference in channel power**,** not simply a difference in store size.

At Balaji Kirana, the owner can potentially make decisions quickly based on local customer demand. However, the smaller purchase volume limits negotiating strength with large FMCG suppliers and distributors.

At Raj Mandir Hyper Market, the organisation can negotiate from a stronger position because of its larger procurement scale. However, individual employees may not be able to independently change prices, promotions, shelf allocation or supplier arrangements.

Therefore, retailer autonomy has two dimensions:

Flexibility at store level and bargaining power at channel level**.**

A Kirana may have more flexibility but less bargaining power. Modern trade may have more bargaining power but less store-level flexibility.

## 4. AI-Simulated Credit-Crunch Analysis

For the AI-assisted simulation, the required assignment shock is a reduction in distributor credit from 14 days to zero**,** meaning that the retailer moves to cash-on-delivery.

Because the exact credit term for Balaji Kirana has not been supplied in the material available for this draft, the 14-day term is treated as a scenario input and not as a claimed field fact. This distinction is important because the assignment requires the AI output to be challenged against primary data.

### 4.1 Impact on Balaji Kirana Store

Under the 30-day scenario, the first impact is on working-capital availability.

A retailer that previously had fourteen days to sell part of its stock before payment would now need cash immediately at replenishment. The store would therefore become more selective about order quantities, especially for slower-moving SKUs.

The immediate response would likely include:

- Ordering smaller quantities
- Prioritizing fast-moving products
- Delaying purchases of slow-moving products
- Managing cash more carefully
- Reducing unnecessary inventory
- Focusing on products with predictable sales velocity

## Days 1–7

During the first week, the store would still attempt to maintain normal product availability by using existing cash and prioritising high-velocity SKUs.

However, the retailer would immediately experience higher cash requirements because every replenishment would need to be paid for immediately.

## Days 8–15

Working-capital pressure would become more visible.

The retailer could start reducing the breadth of its orders. This could create a mismatch between customer demand and the retailer's ability to finance inventory.

Products that are important for customer choice may not always be the products the retailer can comfortably finance.

## Days 16–25

Repeated under-ordering could increase stockout frequency.

Customers may begin switching between:

- Different SKUs
- Different pack sizes
- Different brands
- Different stores

At this stage, the issue moves beyond inventory management and begins to affect customer experience and retailer competitiveness.

## Days 26–30

If the financial constraint continues, the problem could shift from brand share to channel share**.**

Customers who regularly experience stockouts may start visiting another store where product availability is more reliable.

Thus, the financial shock can eventually affect the retailer's customer footfall and the supplier's sales volume.

## 4.2 Impact on Raj Mandir Hyper Market

For Raj Mandir Hyper Market, the same credit shock would not necessarily operate at the store level because organised retail normally separates store operations from central procurement and payment.

The exposure would therefore move upstream to areas such as:

- Central procurement
- Vendor-credit agreements
- Warehouse funding
- Inventory policy
- Supplier contracts
- Central financial management

This means the same financial shock travels through different parts of the channel depending on the retail format.

For Balaji Kirana, the impact can be immediate at the store level.

For Raj Mandir Hyper Market, the impact is more likely to be absorbed or managed through the central organisational structure.

## 4.3 AI Simulation Timeline

### Days 1–7

Cash requirement rises immediately after the credit window is removed. The retailer prioritises fast-moving SKUs and may reduce the breadth of each order.

### Days 8–15

Working-capital pressure becomes more visible. Slow-moving products are likely to be deferred, while stockouts may begin appearing in selected high-velocity SKUs if the retailer cannot finance sufficient inventory.

### Days 16–25

Repeated stock gaps can increase substitution. Customers may choose another SKU or brand, and some category purchases may move to competing stores with better availability.

### Days 26–30

If the constraint continues, the problem can shift from brand share to channel share. The retailer may deliberately carry a narrower assortment to protect cash.

## Modern Trade Interpretation

The local outlet may be less directly exposed if credit and procurement are centrally managed. The main risk moves to central procurement, vendor contracts, warehouse funding and upstream inventory availability.

## 4.4 Critical Evaluation of the AI Simulation

The simulation should not be treated as a prediction. It is a stress test**.**

The AI output helps identify the direction of risk, but it cannot automatically understand the actual relationship between the retailer and distributor.

For example, the AI may assume that stockouts will immediately cause customers to permanently leave the store. However, actual field observations may show that customers are willing to substitute another brand or product variant.

Similarly, the AI may assume a formal and predictable reduction in credit. In reality, a distributor may gradually reduce credit, tighten order limits or delay deliveries through informal decisions.

Therefore, the final analysis should give greater weight to actual field evidence than to assumptions generated by the AI model.

## 5. Strategic Managerial Recommendations

## Recommendation 1: Segment Trade Terms According to Retailer Economics

Sales managers should avoid using one uniform credit policy for all retailers.

For Balaji Kirana, the sales manager can link credit support to:

- Payment discipline
- Fast-moving SKU sales
- Reorder frequency
- Purchase consistency
- Distributor relationship

Where commercially feasible, a controlled 7–14 day credit window can help protect product availability without creating excessive distributor risk.

The objective should not simply be to provide more credit. It should be to provide the right level of credit based on sales velocity and retailer capability**.**

## Recommendation 2: Create Simple Replenishment Triggers

For a Kirana store, sophisticated inventory software may not always be practical.

Instead, the salesperson can identify the store's top-selling SKUs and establish a simple minimum-stock level.

For example:

If stock falls below the agreed minimum → salesperson triggers replenishment.

This can reduce stockout risk without adding unnecessary complexity to the retailer's operations.

## Recommendation 3: Protect Availability Before Negotiating Visibility

Shelf-space schemes should be connected with minimum stock or reorder commitments.

A premium display has limited value if the product is repeatedly unavailable.

Sales managers should therefore ensure:

***Visibility + Availability = Effective Merchandising***

Instead of only negotiating for a better shelf position, suppliers should ensure that the product remains physically available on the shelf.

## Recommendation 4: Use Pack-Size and Assortment Strategies to Protect Retailer Cash Flow

Smaller packs and high-rotation SKUs can reduce the amount of cash locked into each order.

For a Kirana store operating under cash pressure, the sales team can recommend:

- Smaller pack sizes
- High-velocity SKUs
- Core assortment
- Limited slow-moving inventory
- Frequent replenishment

The objective is to help the retailer maintain sales without unnecessarily increasing working-capital pressure.

## Recommendation 5: Manage Modern Trade Through Central Relationships

For Raj Mandir Hyper Market, sales managers should focus less on store-level persuasion and more on:

- Procurement
- Category management
- Central supply-chain teams
- Commercial teams
- Vendor management

Forecast sharing, fill-rate tracking and early warnings about supply disruptions can help reduce shelf gaps.

The sales manager should understand who actually makes the buying decision and build the relationship at that level.

## Recommendation 6: Build Product Availability Through Assortment Planning

A retailer does not always lose a customer when one particular SKU is unavailable.

Customers may switch to:

- Another variant
- Another pack size
- Another brand

Therefore, distributors should maintain an appropriate product mix instead of supplying only the highest-selling SKU.

For example, if one variant of a beverage or FMCG product becomes unavailable, another variant should still be present so that the overall category sale is protected.

## Overall Strategic Recommendation

The overall objective should be to balance:

***Retailer Liquidity + Supplier Recovery + Consumer Availability***

A good trade strategy is not simply about giving more credit.

It is about placing the right level of financial support where it protects sales without weakening channel discipline**.**

For traditional trade, relationship management, credit discipline and frequent replenishment are critical.

For modern trade, central procurement relationships, supply-chain coordination and data-driven planning become more important.

## 6. Field Visit Evidence

### 6.1 Balaji Kirana Store — Field Visit



**Date of Visit:** 28th AGUST

**Location:** Mohan Garden, Uttam Nagar

**Observation:**

During my visit to **Balaji Kirana Store**, I observed a compact and organised store layout, with products arranged category-wise on shelves and in visible display areas. The store had a good mix of daily-use groceries, packaged food, beverages, personal-care and household products**,** with fast-moving items placed where customers could easily notice them. Customer visits were regular during the observation, and the retailer was actively managing customer requests and checking product availability.

## 6.2 Raj Mandir Hyper Market — Field Visit






**Date of Visit:** 22th August,2026

**Location:** West, Block D2, Milap Nagar, Uttam Nagar, New Delhi, Delhi, 110059

**Observation:**
During my visit to Raj Mandir Hyper Market**,** I **f**ound the store to be spacious and well-organised, with different product categories arranged in separate sections. The shelves had a wide range of FMCG products, groceries, beverages, personal-care and household items**,** with promotional products given prominent visibility. Customer movement was steady, and the organised shelf arrangement made it easier for customers to compare products and make their purchase decisions.

## Conclusion

The comparison between Balaji Kirana Store and Raj Mandir Hyper Market shows that the way a retailer operates is strongly influenced by its channel structure, purchasing power and level of autonomy. Balaji Kirana Store offers greater flexibility in responding to local customer needs, but its smaller scale makes it more dependent on distributors for credit, timely delivery and product availability. On the other hand, Raj Mandir Hyper Market benefits from organised procurement, larger volumes and structured inventory systems, although many store-level decisions are governed by formal processes and central policies.

The credit-crunch simulation further highlights that working capital is closely connected with product availability and customer retention. A reduction in credit can make a small retailer more cautious about inventory, which may eventually increase the risk of stockouts and customer switching. Overall, the study shows that an effective sales and distribution strategy cannot be the same for every retail format**.** The key learning is that sustainable channel performance depends on balancing retailer liquidity, supplier interests and consistent product availability.

## APPENDIX A — AI COLLABORATION LEDGER

The assignment requires a complete AI collaboration ledger, raw simulation output and a reflective statement.

The ledger documents the prompts used for analytical support. The primary field investigation and final managerial judgement remain the responsibility of the student.

### A.1 Prompt Transcript Log

#### Prompt 1

**Objective:** Understand the assignment requirements.

**Prompt used:**
***"Simplify the Sales and Distribution Management assignment brief into a practical field-investigation checklist."***

**Purpose:**
To understand the assignment requirements, expected field observations and structure of the final report.

#### Prompt 2

**Objective:** Prepare the field investigation.

**Prompt used:**
***"Create a structured interview questionnaire covering delivery frequency, lead time, credit terms, replenishment, stockouts, pricing and shelf-space autonomy."***

**Purpose:**
To prepare questions for interaction with the retailer/manager.

## Prompt 3

**Objective:** Structure field observations.

**Prompt used:**
***"Using the field data from Balaji Kirana Store and Raj Mandir Hyper Market, organise the observations into a retailer autonomy comparison matrix. Do not invent missing primary data; mark gaps for verification."***

**Purpose:**
To compare the two retail formats systematically.

## Prompt 4

**Objective:** Conduct the credit-crunch simulation.

**Prompt used:**
***"Simulate a 30-day distributor credit crunch in which a 14-day credit window is reduced to zero (cash-on-delivery). Analyse effects on working capital, stock movement, substitution and channel switching."***

**Purpose:**
To understand how the change in credit terms could affect retailer operations.

## Prompt 5

**Objective:** Compare retail formats.

**Prompt used:**
***"Compare how the same credit shock would travel through a traditional Kirana channel versus an organised hypermarket channel."***

**Purpose:**
To identify differences in risk exposure between traditional and modern trade.

## Prompt 6

**Objective:** Critically evaluate AI output.

**Prompt used:**
***"Challenge the simulation assumptions and identify which conclusions require validation against primary field evidence."***

**Purpose:**
To prevent the AI output from being treated as actual field evidence.

## Prompt 7

**Objective:** Develop managerial recommendations.

**Prompt used:**
***"Draft concise managerial recommendations for FMCG sales managers based on the channel differences."***

**Purpose:**
To translate the findings into practical sales and distribution recommendations.

## APPENDIX B — RAW AI SIMULATION OUTPUT
## Illustrative AI Simulation Output to be Validated Against Final Field Inputs
### Days 1–7

Cash requirement rises immediately after the credit window is removed. The retailer prioritises fast-moving SKUs and may reduce the breadth of each order.

### Days 8–15

Working-capital pressure becomes more visible. Slow-moving products are likely to be deferred, while stockouts may begin appearing in selected high-velocity SKUs if the retailer cannot finance sufficient inventory.

### Days 16–25

Repeated stock gaps can increase substitution. Customers may choose another SKU or brand, and some category purchases may move to competing stores with better availability.

### Days 26–30

If the constraint continues, the problem can shift from brand share to channel share. The retailer may deliberately carry a narrower assortment to protect cash.

## Modern Trade Interpretation

The local outlet may be less directly exposed if credit and procurement are centrally managed. The main risk moves to central procurement, vendor contracts, warehouse funding and upstream inventory availability.

## Important Limitation

These are scenario outputs and not observed facts**.** They must be checked against the actual Balaji Kirana Store and Raj Mandir Hyper Market field data before submission.

## APPENDIX C — REFLECTIVE STATEMENT

The AI scenario was treated as a decision-support exercise rather than as primary evidence. I checked the logic against the field framework required by the assignment, particularly credit velocity, replenishment turnaround, sales velocity and stockout behaviour**.**

The main learning was that a credit shock does not affect every retailer in the same way. A Kirana may experience the pressure immediately through cash availability and order quantity, whereas an organised hypermarket may absorb the shock centrally through procurement and vendor management.